#11 · 3.4% of marks

Ch 15 – Startup Finance

Pure theory – 4-mark questions. SM TYK theory Qs: **innovative sources of funding a start-up** (para 2) · **pitch presentation** (para 3). Also asked: unicorn, VC characteristics / stages / process, Startup India definition, succession planning.

① Basics of startup financing (SM 1)

→ *Initial infusion of money to turn an idea into reality. **Banks aren't interested** – no assets to rely on, cash flows / repayment capacity can't be forecast*

→ *Left with: sell assets, borrow against home, family & friends – risk of bankruptcy and strained relationships → keep family loans **strictly business-like***

→ *Speed up operations so outside investors can see the venture and the founder's own risk; **bootstrapping** (personal finances or the venture's operating revenue) avoids investors dictating terms; need a strong **business plan** and advice from experienced entrepreneurs*

② Innovative ways to finance a startup (SM 2) – TYK Q1

*Banks are the least likely benefactors → **maximise non-bank financing**.*

Source	SM point
(i) **Personal financing**	Investors won't put money in if the founder hasn't contributed own savings
(ii) **Personal credit lines**	Based on personal credit (eg credit cards); banks cautious – only if the business has cash flow to repay
(iii) **Family & friends**	Believe in you; keep the loan **in writing** (promissory note)
(iv) **Peer-to-peer lending**	Group of people lend to each other; small / ethnic groups of similar faith or interest support each other
(v) **Crowdfunding**	Small amounts from a **large number** of individuals via social media & crowdfunding websites
(vi) **Microloans**	Small loans by individuals at **lower interest**; one individual or aggregated across many
(vii) **Vendor financing**	Company lends to its customer to buy its products; or suppliers **defer payment** until goods are sold (30 → 45 / 60 days) – depends on creditworthiness, may cost more
(viii) **Purchase order financing**	Startups can't fund a large new order → PO financier **pays the supplier directly**; transaction completes, profit flows to the startup
(ix) **Factoring receivables**	Factor pays most (say **80–90%**) upfront; balance on due date after collecting, less interest

③ Pitch presentation (SM 3) — TYK Q2

Short presentation (**not more than 20 minutes**) to investors on the company's prospects and why they should invest; usually a PowerPoint **pitch deck** giving a quick overview of the business plan; face-to-face or online, to investors, customers, partners, co-founders. **9 points**:

1. **Introduction** — who you are, what you do; short; interesting facts, milestones
2. **Team** — investors invest in the team, not only the idea; promoter's background; past joint results
3. **Problem** — the problem solved. SM eg: **Facebook (2004) vs Orkut** — profile visible only if you are added (privacy)
4. **Solution** — how it is solved. SM eg: **Flipkart (2007)** — cash on delivery (cards rare) + own supply chain for timely delivery
5. **Marketing / sales** — market size, target customers, how to attract them, growth & revenue forecasts
6. **Projections / milestones** — educated guess if no history: **income statement** (monthly in year 1, quarterly in year 2, annual after), **cash flow** (cash burn / generated, closing cash), **balance sheet** (annual)
7. **Competition** — how you differ; details of competitors acquired (names, prices)
8. **Business model** — how the company earns revenue and profit; gross profit compares models. SM eg: two movie-rental firms, revenue ₹5 cr; A goes online → COGS ₹4 cr → ₹2 cr → GP margin **20%** → **60%**. Show revenue streams & timeline, pricing vs competitors, **customer acquisition cost, lifetime value**, retention
9. **Financing** — money raised, from whom, how used; if none, what was achieved with minimum funding; how much is sought and its use; investors like founders who invested own money

④ Unicorn (SM 4)

- → **Privately held** start-up valued at **US$1 billion**; term coined by VC **Aileen Lee in 2013**; mythical animal = statistical **rarity** of success. Features: private · US$1 bn valuation · rarity · new ideas, disruptive innovation, consumer focus, high technology
- → Status can be **lost** if valuation slips below US$1 bn
- → India's first: **InMobi** (Sept 2011; SoftBank US$200 m; founded 2007). Fastest: **Udaan** (2018, just over 2 years). Then Flipkart 2012, Mu Sigma 2013, Ola & Snapdeal 2014, Paytm / Quikr / Zomato 2015 …
- → India = **3rd largest** start-up ecosystem (after US, China); 59,000+ DPIIT-recognised start-ups; as of 3 Oct 2023, **111 unicorns** worth US$349.67 bn. Next milestone: **Decacorn** (> US$10 bn)

5 Bootstrapping (SM 5.1.1)

Start and build from personal finances or the company's operating revenue. More money at inception → complacency and waste; own savings → caution, curbs waste.

- → **(a) Trade credit** — suppliers reluctant; show a well-crafted financial plan to the owner / CFO, get a reference; maybe half on credit; **sell before you pay**; cuts working capital (esp. retail)
- → **(b) Factoring** — receivables sold to a commercial finance company, which collects and does the paperwork; can be on a **non-notification** basis; cuts bookkeeping, collection, credit-check costs; frees cash (esp. B2B / government with long delays)
- → **(c) Leasing** — lease the photocopier (₹5,000 p.m. vs ₹1,00,000) or van (vs ₹5,00,000). Lessor: depreciation tax benefit, capital appreciation, profit. Lessee: smaller payments, can walk away at end, lease rentals tax-deductible

6 Angel investors (SM 5.1.2)

- → Invest in small startups, often from family & friends; one-time or ongoing; **more favourable terms** — invest in the **entrepreneur** rather than the viability of the business; focus on first steps, not profit
- → Also called informal investors, angel funders, private, seed investors, business angels; affluent individuals; take **equity or convertible debt**; may use crowdfunding platforms / angel networks
- → Use **own money** (VCs manage pooled funds); vehicle may be an LLC, business, trust or fund. Early failure = total loss → look for a defined **exit** (acquisition, IPO)

7 Venture capital (SM 5.1.3)

Investment vehicle managing investors' funds for startups with **exceptional growth potential**; professionals invest alongside management in young, rapidly growing companies. VCs: finance new & rapidly growing companies · buy **equity** · help develop new products · add value through **active participation**.

Characteristics (4)

(i) **Long horizon** — minimum **3**, maximum **10 years** (ii) **Lack of liquidity** — adds an illiquidity premium (iii) **High risk**, high return (iv) **Equity participation** — board seat, supervise decisions

Advantages (7)

Long-term equity → solid capital base · partner sharing risk & reward · practical advice from experience · network of contacts · further funding rounds · experienced in preparing an **IPO** (incl. NASDAQ) · can facilitate a **trade sale**

THEORY

⑧ Stages of VC funding & risk matrix (SM 5.1.3.4)

Stage	Years locked	Risk	Activity financed
Seed money	7–10	Extreme	Prove a concept / idea, R&D; low-level financing
Start-up	5–9	Very high	Prototypes, product development & marketing
First stage	3–7	High	Commercial production & marketing (early sales)
Second stage	3–5	Sufficiently high	Expanding market, working capital — selling but ***not yet profitable***
Third stage	1–3	Medium	Expansion, acquisition, product development for a ***profit-making*** company — ***Mezzanine financing***
Fourth stage	1–3	Low	Going public — ***Bridge financing***

⑨ VC investment process (SM 5.2) — 6 steps

1. ***Deal origination*** — directly or via intermediaries (mainly practising CAs); VC states sector, stage, promoter, turnover focus; company gives ***Investment Memorandum*** (business model, financial plan, exit plan, tentative valuation)
2. ***Screening*** — committee of senior VC people
3. ***Due diligence*** — verify documents; usually external consultants; fee paid by VC or shared
4. ***Deal structuring*** — both win; convertible structure lets promoter buy back; ***tag-along clause*** — promoter must sell part of stake along with VC
5. ***Post-investment*** — VC nominee on board; strong MIS, budgeting, governance, covenants, milestone reporting; professional management
6. ***Exit plan*** — (a) sell to third parties (IPO or private placement to other VCs) (b) promoter ***buy-back*** at pre-agreed rate (IRR generally ***18–25%***), often as right of first refusal

⑩ VC funds in India (SM 6)

→ ***Evolution***: committee in the 1970s; first all-India VC funding by ***IDBI, ICICI, IFCI*** about ten years later; CCI guidelines Nov 1988 (narrow, restrictive); World Bank seminar → TDICICI, GVFL, Canbank, Pathfinder; CCI abolished; foreign finance cos allowed ***1995***; re-regulation 1996 favoured foreign players; boost from IT revolution ***1997***; dotcom bust → shift to later-stage funding

→ ***Formation***: trust · company · LLP. ***Investors***: FIs, banks, pension funds, corporations, HNIs

→ ***Structures***: ***domestic*** — pooling vehicle (trust or company; ***trust preferred*** for flexibility; India doesn't recognise limited partnerships) + separate investment adviser · ***offshore*** — LLC / LP abroad invests directly, managed offshore, Indian adviser does diligence · ***unified*** — offshore vehicle invests in a local trust into which domestic investors contribute directly

11 Startup India (SM 7)

Launched **16 Jan 2016**. Per **GSR 127(E), 19 Feb 2019**, an entity is a startup: (i) up to **10 years** from incorporation, as a **private limited company, registered partnership firm or LLP** in India (ii) turnover **≤ ₹100 crore** in every year since incorporation (iii) working on innovation / improvement of products, processes or services, or a scalable model with high employment or wealth creation. **Not** if formed by splitting up or reconstructing an existing business.

- → Startup India & StandUp India (2016); SIDBI-run **Electronic Development Fund** — government an LP for the first time; Mudra; **100% tax holiday u/s 80-IAC**; exemption from angel tax
- → **Startup India Seed Fund Scheme (SISFS)**, DPIIT, Jan 2021: **₹945 crore**; ~3,600 entrepreneurs via 300 incubators over 4 years; DPIIT-recognised, incorporated **≤ 2 years** before applying; up to **₹50 lakh**; proof of concept, prototype, trials, market entry, commercialisation
- → Why India thrives: (i) talent pool (ii) cost-effective workforce (10 m+ join yearly) (iii) internet use (2nd largest base) (iv) technology (AI, blockchain) (v) variety of funding; 100% automatic FDI route in most sectors

12 Succession planning (SM 8)

- → Identify critical positions and develop people to fill them; vital for family businesses (often non-family leader, family ownership); can be a **liquidity event** transferring ownership to rising employees
- → **Need (5)**: risk mitigation (search takes 6–9 months) · cause removal (fraud, gross negligence, barred leader) · talent pipeline · conflict resolution · aligning culture, vision, values
- → **Strategy (4 steps)**: evaluate key leadership positions → map competencies needed → identify competencies of current workforce (train / hire outside) → **bridge leader** (outsider who prepares young family members)
- → **Challenges in startups (3)**: founder mindset ≠ corporate mindset · premature (processes slow growth) · founders are the face of the startup

13 Correlation — how Ch 15 actually connects

Ch 15 idea	The actual link (app-written cross-reference; the Ch 15 side is SM)
VC illiquidity premium, buy-back at 18–25% IRR	**Ch 5 / Ch 13**: required return = risk-free + premiums; the buy-back rate is the VC's target IRR — discount exit value at it to price the entry stake.
Exit by IPO / trade sale	**Ch 14**: trade sale = acquisition; VC exit is one reason companies are sold; SPAC is another route to listing.
Factoring, vendor & PO financing	**FM (WC)**: working-capital finance; **Ch 11**: accelerating cash inflows and receivables management.
Unicorn valuation	**Ch 13 / Ch 5**: startups valued on narrative (scalability, growth) — the SM Ch 5 valuer's precaution "numbers vs story".
Business-model gross margin	**Ch 1**: strategy + finance + management; pitch "projections" = financial planning (FR + FT + FG).
Startup definition, 80-IAC	**DT / FR**: tax holiday. Convertible debt from angels: the **issuer** splits it under Ind AS 32 if it is a compound instrument; the **holder** carries it at FVTPL under Ind AS 109.